The Overlooked Truth:
Bull Markets Start 15 Months Before the Halving

The four-year cycle isn't dead — the magnitude is · Three down waves of near-identical depth · $79,009 is the only line that matters

2026-08-22 Weekend Edition · Data through 2026-08-22 11:00 UTC · 5,879 daily bars since 2010-07-18 · 19,736 4h bars · 5 bear markets, 4 bull markets

Should you be FOMOing right now?

BTC has run from $58,525 to an intraday $79,500 in under two months. I pulled every daily bar since 2010 and re-aligned all four cycles by **days from halving** instead of by calendar date. The answer is not the one the chart suggests.

In all four cycles, the real acceleration begins only **after roughly 15 months before the halving**. The year preceding that line goes nowhere: path efficiency of just **2.3%–6.3%**, up-days running 46%–53%. Statistically indistinguishable from a coin flip.

We are 597 days from the next halving. That historical boundary lands around 2027-01-16 — about five months out.

Yesterday the market demonstrated the point: BTC printed $79,500 intraday, clearing the $79,009 confirmation line, then closed at $78,338. Today it is back to $76,894. **Anyone who chased the wick is down 3.3% one day later.** This is why every level in this column is measured on a closing basis, never on a touch.

> This is not a case for cash, and not a case for full size. It says something narrower: **over the next few months, waiting for a big move will most likely pay nothing, while trading defined levels with controlled risk will.**

ALL-TIME HIGH	CYCLE LOW SO FAR
$124,824	$58,525

2025-10-06	2026-06-30
NOW	TO CONFIRMATION
$76,894	+2.75%
−38.4% from high	$79,009

SIX FINDINGS

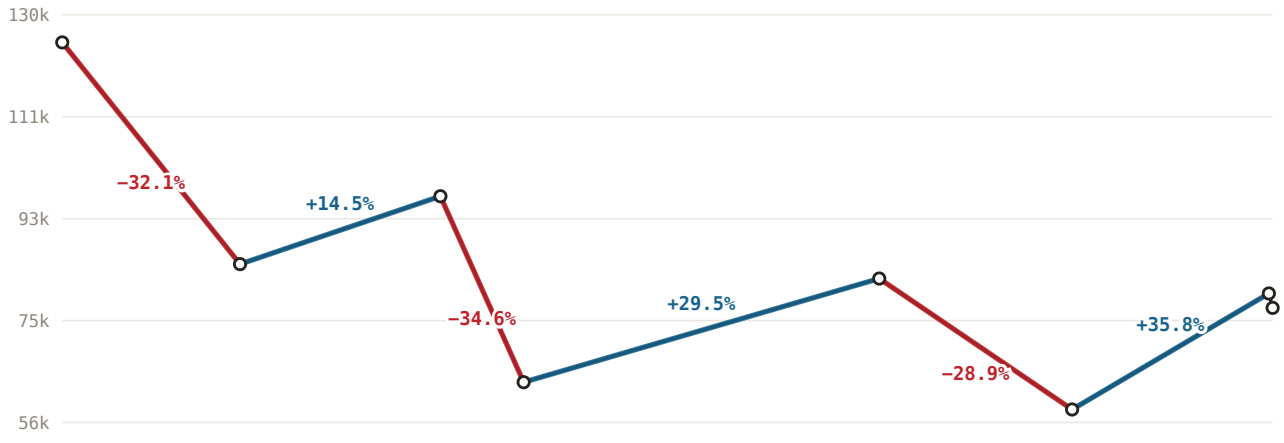
1. **This drawdown has three waves, not eleven.** −32.1%, −34.6%, −28.9%. The four prior bears ran 7 to 12 waves each.
2. **Bear depth is decaying monotonically:** −92.7% → −84.4% → −83.8% → −76.7% → −53.1% so far. No exception in fifteen years.
3. **$79,009 (the low +35%) is the single number to watch.** August 21 tagged $79,500 intraday but closed $78,338; August 22 fell back to $76,894. No daily close in the past ten days has been at or above the line. Wicks don't count.
4. **Bull-market duration is almost fixed; magnitude is collapsing.** 1,067 / 1,059 / 1,062 days, but +11,082% → +2,021% → +692%. Trust the clock, discount the size.
5. **Acceleration starts at T−450, not at the halving.** Rolling 90-day medians across four cycles are negative in every window before T−450 and positive in every window after. No exceptions.
6. **A typical 4h swing is 4.6%–4.9% over 28–32 hours,** and it barely differs between bull and bear (4.8% vs 4.9%). Swing parameters need no regime switch.

01 This bear market: three waves, all nearly the same depth

2025-10-06 → present, 20% ZigZag

Wave structure since the top

Three down waves of near-identical depth — and wave 6 is the first rebound to exceed the decline before it



X = days from the 2025-10-06 top. The final high of $79,500 is the Aug 21 intraday print; that day closed $78,338 and Aug 22 closed $76,894.

Three down waves of −32.1%, −34.6% and −28.9%. The spread between the deepest and the shallowest is under six points. That is unusually uniform — in the 2018 and 2022 bears, individual waves ranged from −15% to −55%.

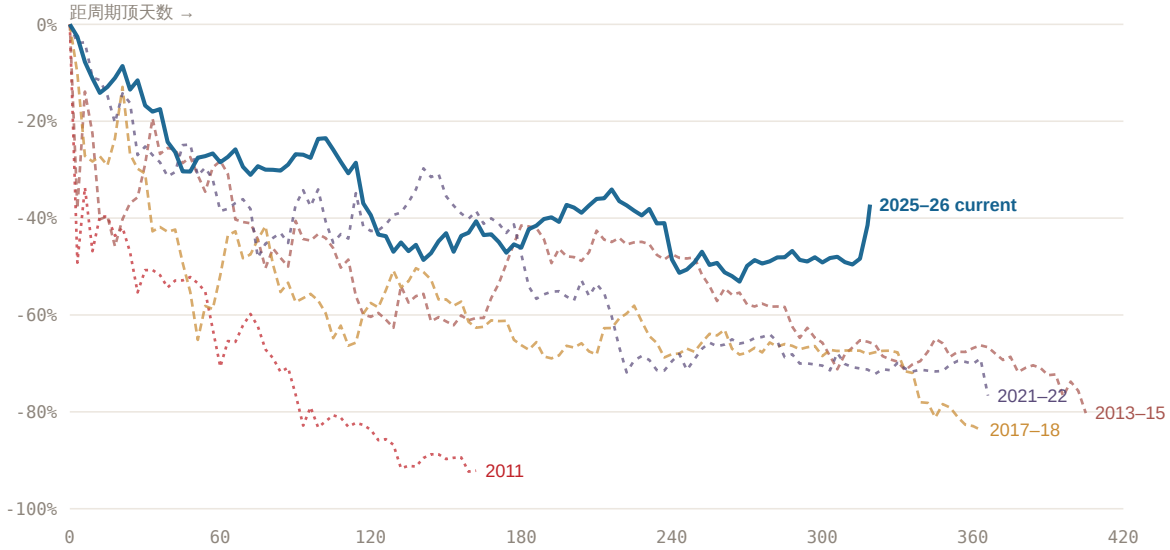
Wave 6 is the first rebound in this cycle to exceed the decline that preceded it (+35.8% intraday against −28.9%). That is the first *necessary* condition for a structural turn — necessary, not sufficient.

On a closing basis, the condition has not been met. August 21 reached $79,009 intraday and closed $78,338, 0.85% short. August 22 gave it back to $76,894. A long upper wick is not a confirmation. The requirement is a daily close above the line that holds for two weeks.

02 Five bears compared: this one is shallow, so far

Peak-to-trough, daily closes

> **The current bear (blue) has bottomed at −53.1% so far — but it has not been the shallowest throughout: around day 150–170 the 2021 bear sat above it, then went on to −76.7%**



X = days from cycle top, Y = drawdown from that top. Each historical line stops at its own trough, so "only the blue line turns up" is an artefact of the drawing, not a finding. The real use of this chart: at day 165, the 2021 bear also looked shallow.



CYCLE	DRAWDOWN	DAYS	DOWN WAVES
2011	−92.7%	163	11
2013–2015	−84.4%	411	12
2017–2018	−83.8%	364	11
2021–2022	−76.7%	366	7
2025–2026 ⚠	−53.1%	320	3

⚠ The last row is an unfinished market. The four rows above it are settled history; this one can still be rewritten. Read it as "shallowest to date," not "shallowest ever."

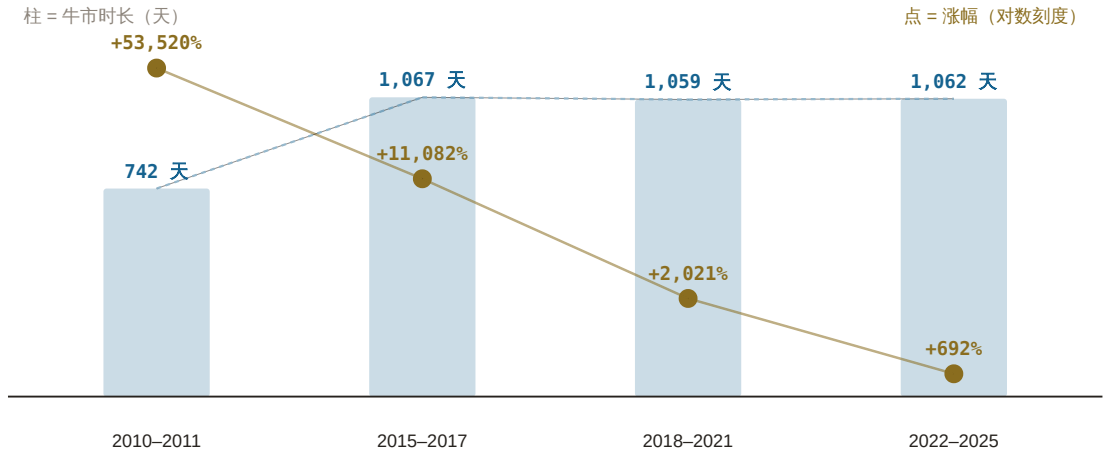
WHY THE DEPTH KEEPS SHRINKING

An −80% collapse requires a specific mechanism: leveraged retail forced to liquidate into a downward spiral. Spot ETFs, corporate treasury holdings and institutional allocations have **no margin call**. As that share of supply grows, the spiral has less fuel. This is a structural argument, not a bullish one — it caps the downside, it does not create upside.

03 Four bull markets: the clock is stable, the magnitude is not

Trough to peak, daily closes

Duration is nearly flat; magnitude fell sixteenfold — trust the clock, discount the size



Gains use a log scale; on a linear axis the 2010 cycle flattens the other three into the baseline.

The last three bull markets ran 1,067, 1,059 and 1,062 days — a spread of eight days across nine years. Over the same span the magnitude fell by a factor of sixteen.

The practical rule: trust the timing, discount the size. Anyone modelling the next cycle on a repeat of 2021 percentages is extrapolating the one variable that has consistently failed.

Halving to top is equally stable

HALVING	CYCLE TOP	DAYS
2012-11-28	2013-11-29	366
2016-07-09	2017-12-16	525
2020-05-11	2021-11-08	546
2024-04-20	2025-10-06	534

Taking the median of the last three (534 days) and applying it to 2024-04-20 gives 2025-10-06 — the exact day of the actual top. One data point, but a striking one.

MID-BULL DRAWDOWNS

Across the four bull markets there were 33 corrections, median −27.5%, with 45% of them exceeding −30% and the deepest at −64.1%. Holding leveraged exposure through an entire bull market is not a discipline problem. It is arithmetically impossible.

04 The overlooked window: the line is T−450, not the halving

All four cycles re-aligned by days from halving

The common framing is "buy the halving." The data says the move starts well before it, and that the year *before* that start is the most punishing stretch of the entire cycle.

Exactly one row is red in all three recent cycles: T−2y → T−1y. The row directly beneath it is blue in all four

	2012	2016	2020	2024	Median
T−3y → T−2y	–	+625.2%	+397.8%	−25.1%	+397.8%
T−2y → T−1y	+1,096.1%	−53.7%	−18.2%	−32.5%	−25.4%
T−1y → halving	+347.2%	+128.3%	+23.8%	+137.8%	+133.1%
halving → T+1y	+8,069.1%	+284.4%	+558.9%	+31.1%	+421.7%
T+1y → T+2y	−62.5%	+165.9%	−49.1%	−10.9%	−30.0%

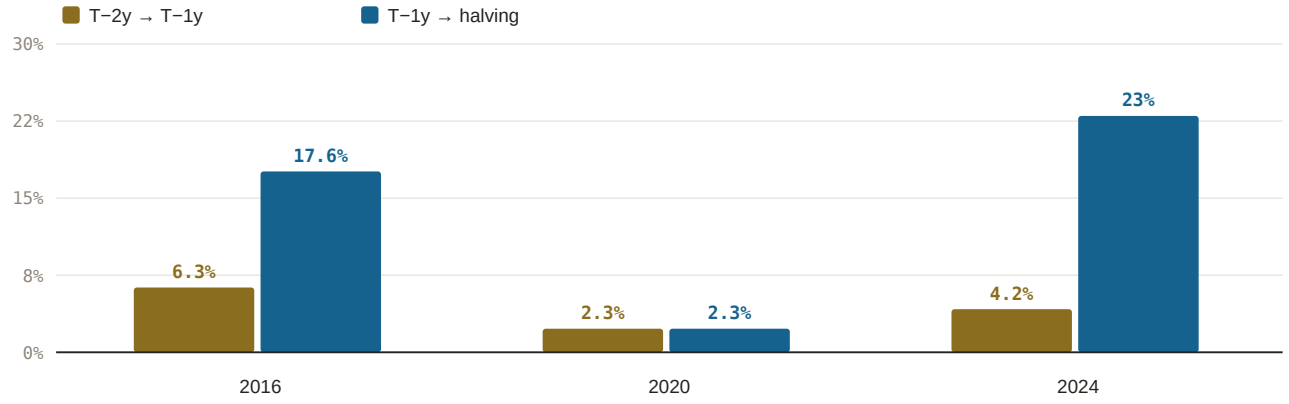
Shade tracks the absolute size of the move (log-compressed); blue positive, red negative. The 2012 cycle lacks a T−3y window.

The year from T−2y to T−1y has a median of **−25.4%** and is negative in the three most recent cycles. The year from T−1y to the halving is **positive in all four**, median +133.1%.

What actually happens in that year: not a decline, a grind

Net return understates how unpleasant it is. Path efficiency — net move divided by the sum of absolute daily moves — measures how much of the travelling actually got you anywhere.

Path efficiency: forty times the distance travelled, back where it started

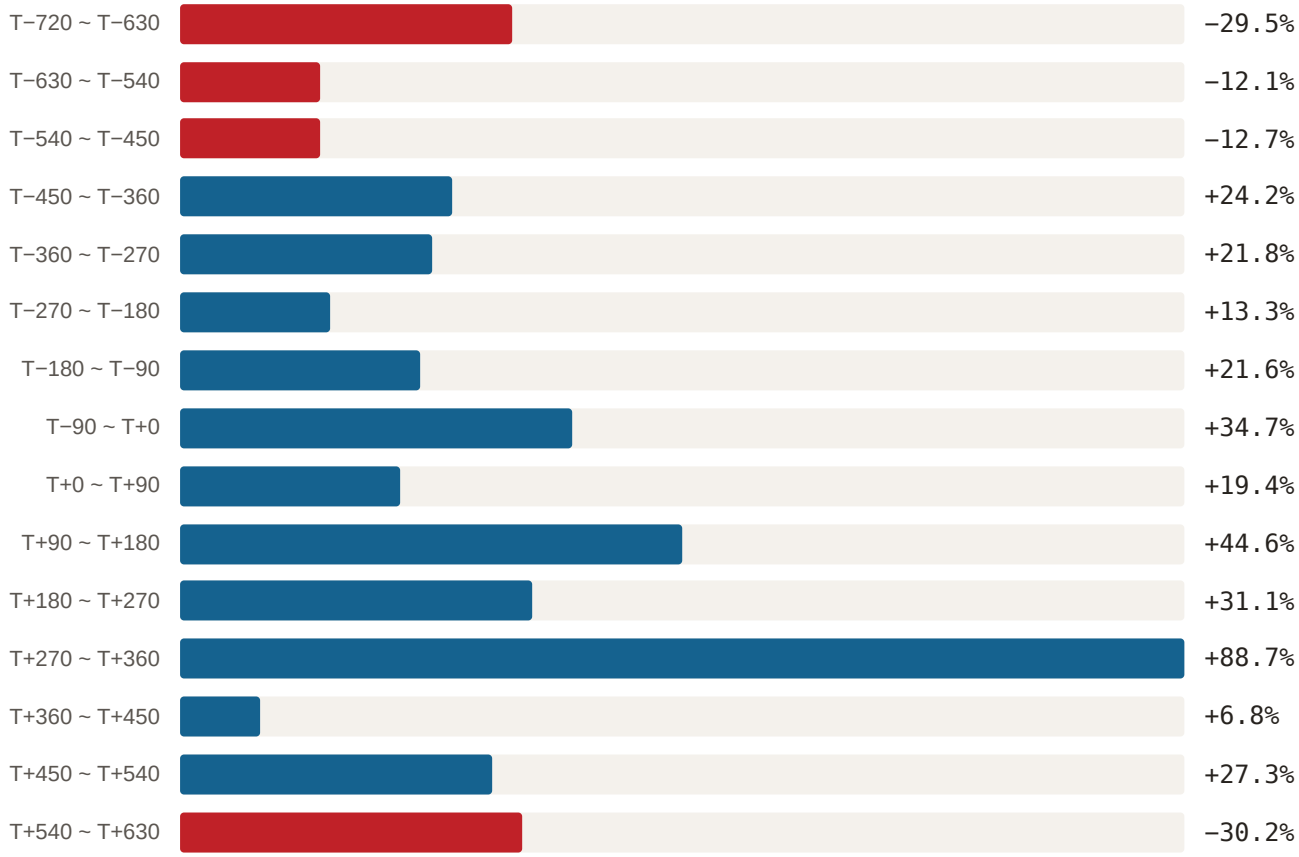


Path efficiency = |net move| ÷ Σ|daily moves|. 2.3% means price travelled roughly 43× its net move. Both windows are low in the 2020 cycle because that acceleration landed almost entirely after the halving.

A path efficiency of 2.3% means price travelled roughly forty times its net move and finished where it started. An up-day share of 46%–53% is a coin flip. **That is the statistical signature of chop, and it is what "trending up but nothing to show for it" actually looks like in numbers.**

Finer resolution: 90-day buckets anchored on the halving

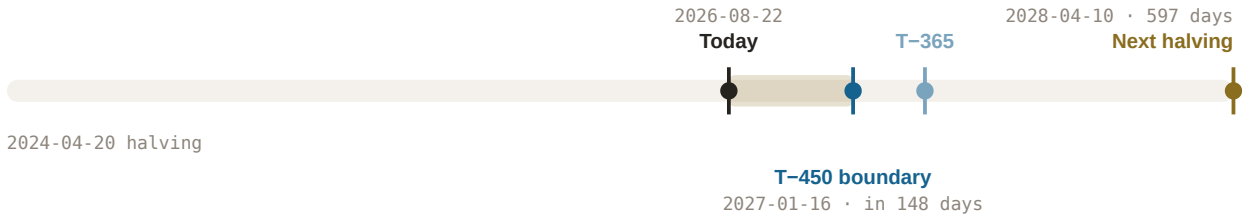
Merging all four cycles and taking the median of each 90-day window:



> **THE CLEANEST RESULT IN THIS REPORT**
>
> **Every 90-day window before T−450 has a negative median. Every window from T−450 through T+540 is positive. There is no exception in four cycles.** T−450 is roughly 15 months before the halving — which is where the title comes from.

So where are we

> **We are here: 148 days short of the historical launch line**



The gold band is where we are now: the lowest-path-efficiency stretch in the record, with roughly five more months of it on the historical clock. The 2028 halving is estimated at 2028-04-10 from current block rate and may shift by several weeks.

Stated as a window: the historical launch zone is 2027-01-16 to 2027-04-11. If you want a single date to watch, use the end of Q1 2027.

This reconciles two views that appear to conflict. Even if the June low holds and this is already a slow bull, the next five months sit in the lowest-path-efficiency stretch in the historical record. "The bottom is in" and "nothing much will happen for a while" are not contradictory statements.

05 The 4h picture: how big is one swing, and how long

19,736 4h bars since 2017-08-17, ZigZag at three thresholds

ZIGZAG	MEDIAN SWING	MEDIAN DURATION	COUNT
2%	4.6% – 4.9%	28 – 32 h	1,842
3%	6.2% – 6.8%	40 – 52 h	986
5%	8.9% – 11.6%	86 – 104 h	421

The number that matters for anyone running a trade plan: **a typical 4h swing moves 4.6%–4.9% over 28–32 hours**, and it is essentially identical in bull and bear regimes (4.8% vs 4.9%).

> **WHAT THIS MEANS FOR PARAMETERS**
>
> **Because swing size does not depend on regime, a 4h swing system needs no bull/bear switch — one of the most common sources of overfitting simply disappears. And a 3.6% price target sits comfortably inside the 4.6% median, which makes it a conservative objective rather than an aggressive one.**

Intermediate swings: counter-trend is fast and short, with-trend is slow and long

REGIME	DIRECTION	MEDIAN DURATION

Bull	Up	46 days
Bull	Down	22 days
Bear	Up	28 days
Bear	Down	44 days

Counter-trend legs resolve in roughly half the time of with-trend legs in both regimes. A rally in a bear market is not "the turn" because it is sharp — sharpness is exactly what a counter-trend leg looks like.

06 What comes next: three scenarios

No probabilities are assigned. Each scenario is stated as a confirming signal and an invalidating signal you can check yourself.

A note on method. Assigning odds to a cycle scenario is itself the error this report is arguing against — the cycle is only knowable in hindsight. What is useful in advance is a set of triggers. Below, each scenario carries a price or date you can verify in real time.

The three paths at a glance

SCENARIO	CORE CLAIM	WATCH
A · Bottom is in	June low holds, slow bull already underway	$79,009
B · One more leg down	Three waves isn't enough, a fourth is coming	$66,000
C · The cycle ends	Four-year rhythm dissolves into an equity-like trend	2028 halving

Scenario A · The bottom is in, a slow bull has started

Watch $79,009

Core claim: $58,525 on 2026-06-30 was the cycle low. The three-wave structure is complete and the market is already in the early, low-slope phase of the next advance.

Supporting evidence: bear depth has declined monotonically across five cycles with no exception, and the structural reason is identifiable — ETF, treasury and institutional holdings carry no margin call, which removes the fuel from a liquidation spiral. Wave 6 is the first rebound in this cycle to exceed the preceding decline.

Projected path: applying the shrinking-magnitude pattern (÷2.9 to ÷5.5 per cycle) to a +692% prior bull gives a next-cycle gain in the range of +150% to +250% from the low, or roughly **$193,000–$222,000**, arriving around mid-2029 on the observed 1,060-day duration.

✅ **Confirms if:** a daily close above $79,009 that holds for two weeks, followed by a pullback that finds support near $70,000.

❌ **Invalidated by:** any daily close below $58,525.

⚠ **The trap:** reading "A is correct" as "safe to chase." Even if A is entirely right, the next five months are the lowest-path-efficiency zone in the record. Being right about direction and wrong about timing still loses money at leverage.

Scenario B · One more leg down

`Watch $66,000`

Core claim: three down waves is too few. The current +35.8% is a large bear-market rally, not a reversal.

Supporting evidence: prior bears ran 11, 12, 11 and 7 down waves. Three is far outside that range. And the current rebound sits squarely inside the normal distribution of bear rallies — the historical median bear rally is +43.3% over 28 days, with a maximum of +722%. **The size of this move proves nothing on its own.** Every bear market in the record contained at least one rally that looked like the bottom.

Projected path: a fourth wave at the three-wave median of −32.1% from $76,894 targets roughly **$52,200**; from a double top near $79,009 it targets $53,600. Given that waves have been narrowing (−34.6% → −28.9%), a shallower fourth leg landing near **$56,000** is at least as plausible. Timeline Q4 2026 to Q1 2027, with a subsequent top of $160,000–$200,000 in 2029–2030.

✅ **Confirms if:** a high-volume long upper wick that fails below $79,009 while funding runs above 80% annualised, or any daily close below $66,000.

❌ **Invalidated by:** holding above $79,009 on a closing basis for two weeks.

⚠ **The trap:** going fully to cash to wait for a leg that may never arrive. $56,000 is only 28% below here. Missing the launch window costs considerably more than a 28% drawdown on a controlled position.

Scenario C · The four-year cycle ends

`Watch the 2028 halving`

Core claim: the halving-driven rhythm dissolves. BTC trades like a large, volatile macro asset — no cycle top, no cycle bottom, just a long trend with equity-scale drawdowns.

Supporting evidence: the halving's supply effect shrinks by half every cycle and is now a rounding error against ETF and treasury flows. Magnitude has already collapsed by a factor of sixteen in nine years. The mechanism that produced the cycle is measurably weakening, whether or not the pattern has broken yet.

Projected path: annualised returns of roughly 15%–40%, annual maximum drawdowns of 20%–35%, and no identifiable cycle high or low.

✅ **Confirms if:** no visible acceleration within ±6 months of the 2028 halving, *and* annual maximum drawdown stays under −40% for two consecutive years.

❌ **Invalidated by:** any single year after 2028 returning more than +300%.

⚠ **The trap:** using scenario-A or scenario-B position sizing in a scenario-C regime. If the big move never comes, size built to survive a −80% bear and capture a +2,000% bull is simply carrying cost.

Why this scenario is included: A and B share a premise — that the four-year cycle persists. Only C catches you if the premise itself fails. That is the entire point of not anchoring to a pattern.

What the three scenarios agree on is more reliable than where they differ

- **No repeat of +2,000%.** All three imply a next-cycle gain in the low hundreds of percent at most.
- **No repeat of −80%.** The liquidation spiral needs leveraged marginal supply that no longer dominates.
- **You will have to sit through drawdowns of 28% or more,** in every scenario, including the bullish one.
- **$79,009 is the shared near-term line.** All three read the same number, they just read it differently.

07 What to do with this

The useful conclusion here is not a label. Bull markets drop 30% routinely — 33 corrections, median −27.5%. Bear markets rally 40% routinely — median +43.3%. A framework that only works once you know which regime you're in is not a framework.

1. **Stop waiting for the big move.** On the historical clock, the next roughly five months are the lowest-efficiency stretch in the record. Positioning for a trend that starts in 2027 and paying carry for it until then is the most expensive way to be right.
2. **Trade the swing, not the cycle.** A 4h swing pays 4.6%–4.9% every 28–32 hours and does not care about the regime. That is a live edge in exactly the conditions where the cycle trade pays nothing.
3. **Use closing prices for every level.** Yesterday's $79,500 wick and $78,338 close is the cleanest illustration available. Touch-based rules would have signalled confirmation; close-based rules did not.
4. **Watch $79,009 and 2027-01-16.** One is a price, one is a date. Between them they discriminate among all three scenarios.
5. **Size for a −28% drawdown, because all three scenarios contain one.**

> **THE ONE LINE TO REMEMBER**
>
> We are currently sitting in the lowest-path-efficiency segment in the historical record, and on the historical clock there are about five more months of it. Whether or not this is a bull market matters far less than whether your position size can survive the chop that comes before the answer.

Ten years in product. No theses about faith, only mechanisms. Web3 protocols, products and incentives, taken apart from a product manager's perspective.

@Uncle_Onchain

Data sources: CoinMetrics community API (5,879 daily closes, 2010-07-18 → 2026-08-22) · Binance spot BTCUSDT 4h (19,736 bars, 2017-08-17 → 2026-08-22). All figures computed from raw price series; scripts available on request.

Method notes: Wave structure uses ZigZag with an explicit initial direction. Bear/bull boundaries are daily-close peak-to-trough. Path efficiency = |net move| ÷ Σ|daily moves|. Halving-phase analysis aligns all four cycles by days

from halving; the 2028 halving date is estimated at 2028-04-10 from current block rate and may shift by several weeks.

Known gaps: the 2012 cycle lacks a T−3y window (insufficient history). The 2025–2026 bear is unfinished and every figure describing it is provisional. Liquidation-level data was not available from a free, verifiable source and is therefore not used anywhere in this report.

Not investment advice. Nothing here represents the author's actual positions. Parameter version v2.0.